

Table 1: Effects of Ownership Change on Occupancy, Payer Mix, Case Mix, and Length of Stay

| Outcome                | No controls           | Controls              | Observations |
|------------------------|-----------------------|-----------------------|--------------|
| Occupancy rate         | 2.649***<br>(0.336)   | 2.784***<br>(0.343)   | 626,307      |
| Medicare share         | 1.358***<br>(0.205)   | 1.223***<br>(0.216)   | 626,307      |
| Medicaid share         | -0.900<br>(0.557)     | -1.715***<br>(0.575)  | 626,307      |
| Case mix total         | 0.044***<br>(0.006)   | 0.041***<br>(0.006)   | 438,331      |
| Average length of stay | -11.436***<br>(4.071) | -13.559***<br>(4.513) | 614,480      |

*Notes:* Each cell reports the coefficient on *post*, with standard errors in parentheses. All models include facility and calendar-month fixed effects. The controls column adds beds, government ownership, nonprofit ownership, and chain affiliation.

Case mix is restricted to observations from 2018Q2 through 2023Q2.

Standard errors are clustered two ways by facility and calendar month. Statistical significance: \*\*\* $p < 0.01$ , \*\* $p < 0.05$ , \* $p < 0.10$ .

Table 2: Effects of Ownership Change on Short-Stay Quality Measures

| Outcome                      | No controls          | Controls             | Observations |
|------------------------------|----------------------|----------------------|--------------|
| Moderate/severe pain         | -1.446**<br>(0.574)  | -1.624**<br>(0.545)  | 48,990       |
| New/worsened pressure ulcers | 0.065<br>(0.087)     | 0.082<br>(0.092)     | 41,982       |
| Pneumococcal vaccine         | -3.719***<br>(0.627) | -4.636***<br>(0.677) | 180,687      |
| New antipsychotic medication | -0.008<br>(0.043)    | -0.012<br>(0.048)    | 149,556      |
| Improved function            | 0.312<br>(0.500)     | -0.279<br>(0.590)    | 110,447      |
| Influenza vaccine            | -3.386***<br>(0.609) | -3.913***<br>(0.664) | 144,903      |

*Notes:* Each cell reports the coefficient on *post*, with standard errors in parentheses. All models include facility and calendar-quarter fixed effects. The controls column adds beds, government ownership, nonprofit ownership, chain affiliation, occupancy rate, Medicare share, and Medicaid share when available.

The ownership-change quarter is excluded from the short-stay quality regressions.

Standard errors are clustered two ways by facility and calendar quarter. Statistical significance: \*\*\* $p < 0.01$ , \*\* $p < 0.05$ , \* $p < 0.10$ .